

[Table 3.1](#) Identification Guidelines

Characteristic	Discussion
Appearance	A zigzag pattern that has four turns, two of which are governed by Fibonacci ratios.
CB/AB retrace	The retrace should be one of the Fibonacci numbers: .382, .5, .618, .707, .786, or .886.
CD/CB extension	The extension should be one of the Fibonacci numbers: 1.13, 1.27, 1.41, 1.618, 2, 2.24, 2.618, or 3.14.
Hills and valleys	From A to B, there should be no peak higher than A and no valley lower than B. From B to C, there should be no peak higher than C and no valley lower than B. From C to D, there should be no valley lower than D and no peak higher than C.
Volume	The volume trend provides a slight performance improvement depending on the bull or bear market condition. See Table 3.2 .
Duration	Limited to 6 months, but that's an arbitrary value.